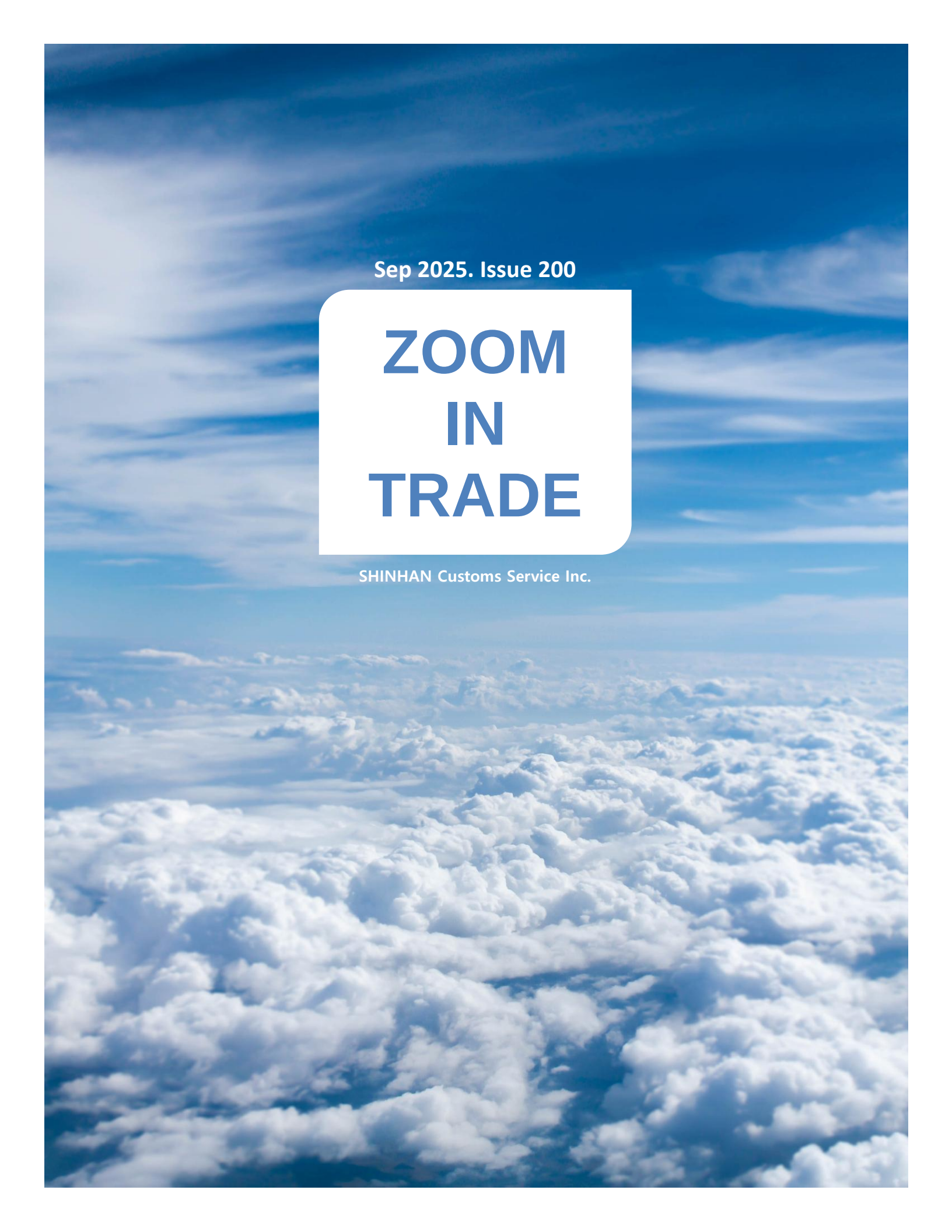




Sep 2025. Issue 200

ZOOM IN TRADE

SHINHAN Customs Service Inc.



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**"I held my neighbor's hand as a Doljabi
at the first birthday party."***

Grace Chang

CEO/Customs consultant

“
Today our courtesy, virtue, and
manners begin with the hand I extend
first and with the hand that takes that
hand. And this society will advance
toward a more livable society.
”



The highlight of a baby's first birthday celebration is the doljabi (first birthday ritual). It's a ritual where various objects are placed in front of the baby, and depending on which one the baby grabs first, the baby's future dreams or tendencies are symbolically predicted. Traditionally, objects like rice, a brush, a bow, money, and thread symbolize health, longevity, knowledge, and wisdom. As times have changed, objects like a microphone, stethoscope, gavel, and golf ball, representing occupations, have been added. This is a subtle expression of the parents' wishes.

However, instead a grand first birthday party, there are parents who looked after their struggling neighbors and guided their baby to hold a neighbor's hand instead of an object during the Doljabi.

Ideal and Reality for this month is 'Think outside the box - Let's consider ways to reduce import and export costs for our companies in crisis.' Analysis on Recent Customs Judicial Precedent covers 'Suwon District Court, October 12, 2023, Judgement 2021 Guhap 69289 [Revocation of Refusal Disposition to Correct Customs Duty, etc.] Whether the unpaid PMI (Planning Marketing Invoice) amount arising from the transaction of importing brand-name products is included in the taxable price of the imported goods as part of the actual transaction price of the brand-name products in this case.', and HS case solved by logic reports 'Interpretation Method of the Purposes Listed in the Tariff Schedule Through the Case of Product Classification for Fan (TaxTribunal 2024-Gwan 0089)', Global Customs Insight is 'AI

and Customs Clearance Practices’ and FTA and import/export practical business guide is ‘Implementation of a System for Submitting Taxable Price Data in a Batch, Contents and Opinion of Customs Trade amendment Covers ‘Partial Revision of the “Notice on Taxpayer Protection of the Korea Customs Service”’

Korea will rise!

‘815 Run’ is a marathon held every year to commemorate Liberation Day with the slogan, “The Republic of Korea will do well.” [Singer Sean, known for his "good running," launched a campaign to improve the living environment of descendants of national independence activists in 2020. Each year, he has run 81.5 kilometers and donated all the money he raised to Habitat for Humanity Korea, giving new homes to descendants of independence activists in need. Every year, donations have grown as companies and citizens contribute. Over the past few years, the sweat of countless participants in the ‘8.15 run’ has turned into real homes and warm rooms.](#) Running is a sport that sets records, but it also shows that it can be a solidarity that changes someone's tomorrow. Sean was filled with gratitude and joy at marrying his beloved wife. So, from the day after their wedding, [Sean and his wife started to donate 10,000 won every day.](#) Since then, for over 20 years, he has been living a life of giving and walking the path of an angel. When his first child was born, he was so grateful and happy that he took on the responsibility of raising the baby himself. He donated the childcare costs he saved and the cost of the first birthday party he skipped to a children's hospital in his child's name. He is [a person whose life itself is a service, not just a job. Whenever he met those in financial or physical difficulty, he was the first to reach out. Holding hands was his way of life.](#)

Walking with the marginalized

The same goes for Dr. Park Yun-gyu, a dentist in Changwon.** [HeI lost his right leg in a train accident when he was twenty.](#) After surgery, he rehabilitated and returned to work, but he no longer wanted to live in a bubble. He entered dental school at 26 and opened his own practice at 32. However, even with a stable job, he was not complacent for comfort. [He poured his energy into the area of "service" just as much as his main job. He helps multicultural families, veterans,](#)

and military personnel, and even volunteers overseas for medical service. Sometimes he treats up to 400 people in two days..

"If a job is about investing talent, effort, and time to gain wealth, then service is about investing talent, effort, time, and money to gain satisfaction. Serving others gives instant gratification and is fun. With that, I've already gotten it all back."

We only see the baby's fingertips in the doljabi, but in fact, it might be a *ritual to learn in advance where our hands will point* later. Rice and money, microphones and stethoscopes are all good, but I hope that one day, each of our hands will become the hands that lift someone up.

There is a saying "If you are not polite when you are young, it is shameful; if you are not virtuous when you are an adult, it is disgrace; if you are not polite when you are old, it is a sin." We come into this world as fragile children, clenching our fists tightly, but as we live in this world, we must open our hands. We must reach out our hands to our neighbors, hold their hands, and walk together.

Charles Dickens's Scrooge repented, albeit belatedly.***He reached out to his neighbors and was fortunately freed from shame and sin. But there are *those who still isolate themselves in greed*.

Today *our courtesy, virtue, and manners begin with the hand I extend first and with the hand that takes that hand*. And this society will advance toward a more livable society.

thank you.

So in everything, do to others what you would have them do to you, for this sums up the Law and Prophets (Gospel of Matthew 7:12)

*Sean (Jinusean). 2025.09.14. [https://namu.wiki/w/%EC%85%98\(%EC%A7%80%EB%88%84%EC%85%98\)](https://namu.wiki/w/%EC%85%98(%EC%A7%80%EB%88%84%EC%85%98))

**Kim Kyung-hwa. (September 13, 2025). I lost my right leg at 20, but at 60, I'm walking with the marginalized every day. Chosun Ilbo. <https://www.chosun.com/3PD7M3JQJZDCTH5ZLTX3FYN5I4/>

*** Charles Dickens. (December 15, 2003). A Christmas Carol. Seoul: Biryongso





Ideal and Reality

Think outside the box – Let's consider ways to reduce import and export costs for our companies in crisis.

1. A decline in the share of US exports is a crisis for our companies.

In Korea, direct exports account for 15% of total exports, while indirect exports through overseas companies account for 5-10%. Including these exports, the exports to the US accounts for 20-25% of total exports. In particular, key industries such as automobiles and auto parts account for 30-35%, secondary batteries 25-30%, semiconductors 15-18%, displays 10-15%, and steel 10-12%.

As the share of exports to the US decreases, there are attempts and requests to develop new markets, and greater efforts to expand markets into countries such as South America, Southeast Asia, the Middle East, India, China, and the EU are being made.



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However, not many new, large markets can accommodate high-end products as readily as the US market. It's not simply a matter of export share; we already know that the US market offers significant benefits compared to other markets and a contraction in the US market would have a devastating impact on our companies and the Korean economy. The burden of the increased tariffs, which began in April of this year, will soon reach a threshold for our export companies.

2. Let's reexamine the current system to reduce the tariff burden on businesses.

Responding to a contraction in the US export market by reducing employees or downsizing operations is undesirable, as it could lead to a recession for the entire Korean economy. While companies will pursue innovations, such as restructuring, to reduce their own costs, the government should proactively provide not only temporary financial support but also institutional support that can be beneficial even without financial investment.

With government financial support quickly running out, innovation through small changes is more crucial than ever. While this year's supplementary budget can provide support to industries most impacted by US exports, such as steel, it cannot continue into next year or the year after.

A small change in a system that can be implemented without government financial investment is the real innovation.

3. Let's rethink all import and export customs clearance systems within a new framework.

Since the implementation of the import declaration acceptance system in 1996, customs administration has maintained customs clearance order through voluntary compliance by taxpayers, with most companies taking responsibility for it.

While improvements, both large and small, have been made, customs officials at the Korea Customs Service and customs offices must pay close attention to the increasing number of import and export restrictions.

Is this system really necessary? What was intended to gain through it, and what are we gaining from it? Are we losing something simply because we haven't even thought of it? We need to consider whether our existing systems, which have been in place for a long time, are truly necessary and whether they benefit not only customs administration but

also businesses. From a cost perspective for businesses, we need to boldly reform any unnecessary aspects of our current customs administration.

4. Let's consider ideas for improving our company's tariff system solely from a cost-saving perspective.

To help our companies cut costs in times of crisis, let's broaden our perspective on the customs system, which we've taken for granted. Below are some of my quick thoughts.

1. Boldly increase the credit collateral limit for monthly payment companies to reduce their collateral burden.

Although South Korea's economic growth is expected to have difficulty achieving even 1% by 2025, exports and imports are increasing each year due to inflation and global economic growth, and the amount of credit collateral required for corporate post-payment and monthly payments is becoming increasingly insufficient.

Companies are requesting an increase in their insufficient credit collateral limits from the customs director based on individual analysis. Let's consider a bold approach of moving away from the current approach of basing the limit on past customs clearance performance and increasing it by around 30%. This could reduce companies' financial burden through the system alone, without financial support. Since companies continue to import, delinquency is virtually impossible. If the Korea Customs Service boldly increases the credit collateral limit, companies' collateral burden will be significantly reduced.

2. Relaxation of monthly payment requirements for foreign-invested companies

To be designated as a company subject to monthly payment, the company must have no delinquent payments in import performance for the past two years. For foreign-invested companies establishing manufacturing plants in Korea, we should consider allowing monthly payments for equipment and raw materials from the first import. To revitalize manufacturing, US President Trump is waging a tariff war by imposing high tariffs on major countries around the world. Couldn't Korea boldly do something similar for foreign-invested companies without requiring fiscal intervention? I'm not sure what the Korea Customs Service officials will think, but it's worth suggesting. This approach relies on the belief that foreign-invested companies won't default on their tariffs and the premise that both companies and the Korea Customs Service should support each other based on trust.

3. Converting the prepayment system to a postpayment system based on insurance guarantee (bond)

If you are not a monthly or post-payment company, you must pay customs duties and taxes before processing the import declaration to receive an import declaration certificate and clear customs.

Introducing an insurance guarantee system, like the U.S. customs clearance system, would allow tax payment to be postponed until after import customs clearance, allowing for faster customs clearance, which would not only reduce logistics costs but also accelerate industrial speed.

Expedited customs clearance not only reduces companies' logistics costs but also increases efficiency by enabling the most efficient use of time, space, and manpower without requiring additional investments in logistics such as airport and port unloading facilities, bonded warehouses, and inland transportation. Customs administration procedures need to be reformed to enhance industrial competitiveness, and innovation must be pursued rapidly through small changes. Concerns about companies' lack of trustworthiness should be addressed through insurance systems, allowing for a faster customs clearance system while reducing the risk of customs delinquency. While expedited customs clearance has traditionally been defined as speeding up processing, customs administration must also embrace changes that foster a more credit-based society through risk diversification.

4. Introduction of an automatic document handover process for shortened work hours in the import/export customs clearance department.

There have been instances of delays in import and export customs clearance due to export and import officials using shortened work hours for reasons such as childcare. While a system for handover and transfer of duties is in place, if a worker simply makes correction requests and then leaves work, the company may experience delays in customs clearance documents that require same-day processing. In such cases, import and export companies should request a change of the person in charge to the customs clearance team leader, but in practice, this can be challenging due to the difficulty in connecting with the person in charge.

When urgent imports require immediate deployment for production or research, delays in customs clearance can leave companies anxious. Producers and researchers push logistics managers, and customs firms need additional time and effort in relaying these requests to customs. In particular, if the official in charge fails to properly hand over import declarations from employees working reduced shifts after 4 p.m., processing delays occur. Directly visiting customs clearance team leaders to request handovers is time-consuming and costly, and the reality is that significant effort is incurred before urgent requests from production or research sites reach customs.

To address this issue, a procedure needs to be established whereby the person in charge of customs clearance working reduced shifts automatically and systematically hand over customs clearance cases to their successors at a set time each day, similar to the handover of nursing duties at hospitals. Redesigning this handover process to prioritize urgent clearance cases will reduce the workload for customs, customs brokers, and companies, and improve clearance speeds. This will enable faster processing of urgent clearance cases, minimizing disruption to companies' production and research activities. It will also reduce unnecessary interim steps and costs associated

with customs clearance team leaders and customs brokers. While a small change, it can be an innovation that enhances both customs efficiency and company satisfaction.

5. Considering the abolition of the P/L sanctions which are sanctions for export/import declaration errors and increased inspection rates

Correcting errors in export/import declarations is already a corrective action. The Notice on Prevention of Errors in Export/Import Declarations operate P/L sanctions and increased inspection rates as sanctions to prevent errors in advance. However, we must consider whether these systems are truly achieving their goal of reducing errors. Typically, P/L sanctions and increased inspection rates last for weeks or months. Since the errors have already been corrected, they only increase the time required for customs brokers to submit import declaration documents, while increased inspection rates only increase the time required for customs officials. These inspection rate increases do nothing to detect hazardous cargo inspections. They only delay customs clearance times and increase the number of companies that do not undergo inspections even when importing hundreds of items. This only reduces the efficiency of the limited workforce of customs brokers and customs inspectors. Using delays in customs clearance as a sanction diminishes corporate competitiveness, and therefore, their abolition should be actively considered.

The increased inspection rate, from the usual 1-2% to 10-20%, may serve as a warning to companies to prevent errors in advance. However, for companies that have already detected and corrected errors, the new inspections have little effect. Focusing inspections on imports and exports of new companies, rather than on companies already caught, would be more beneficial for maintaining order in customs administration.

6 .Do not leave the job that the customs can sufficiently verify to other agencies.

Among the items subject to customs director's confirmation, those subject to the Wildlife Protection and Management Act require confirmation from the local government (district office) for customs clearance. For products already manufactured, not living animals or plants, foreign manufacturers typically obtain documentation proving they are not wild animals or plants. The district office then searches the Ministry of Environment database and responds, with processing taking 7 days, or 14 days if a complex review is required. This system allows customs officials to sufficiently verify information during import clearance. Let's reexamine the items subject to customs director's confirmation to see if pre-verification procedures simply delay customs clearance times when the customs director could have simply confirmed them first and then notified the relevant authorities.

5. To overcome this crisis, we must drastically review regulations that burden businesses.

1. The interests of affiliated organizations and associations are hidden in the regulations of the Ministry.

2. Among export and import regulations, import requirements are usually mandated by ministries. However, many of the regulations introduced for consumer protection or safety are intended to benefit ministries or associations. In particular, a lot of money is spent on preparing documents proving origin for the application of preferential tariffs under FTAs, and foreign test results required for chemicals, food, and pharmaceuticals are not recognized, so costs are incurred for re-inspection and re-certification in Korea.

3. Requesting full inspections will result in a difference in the cost of goods imported by companies and goods imported by Coupang through e-commerce. The review of strategic materials for dual-use is also a key regulation that increases corporate costs.

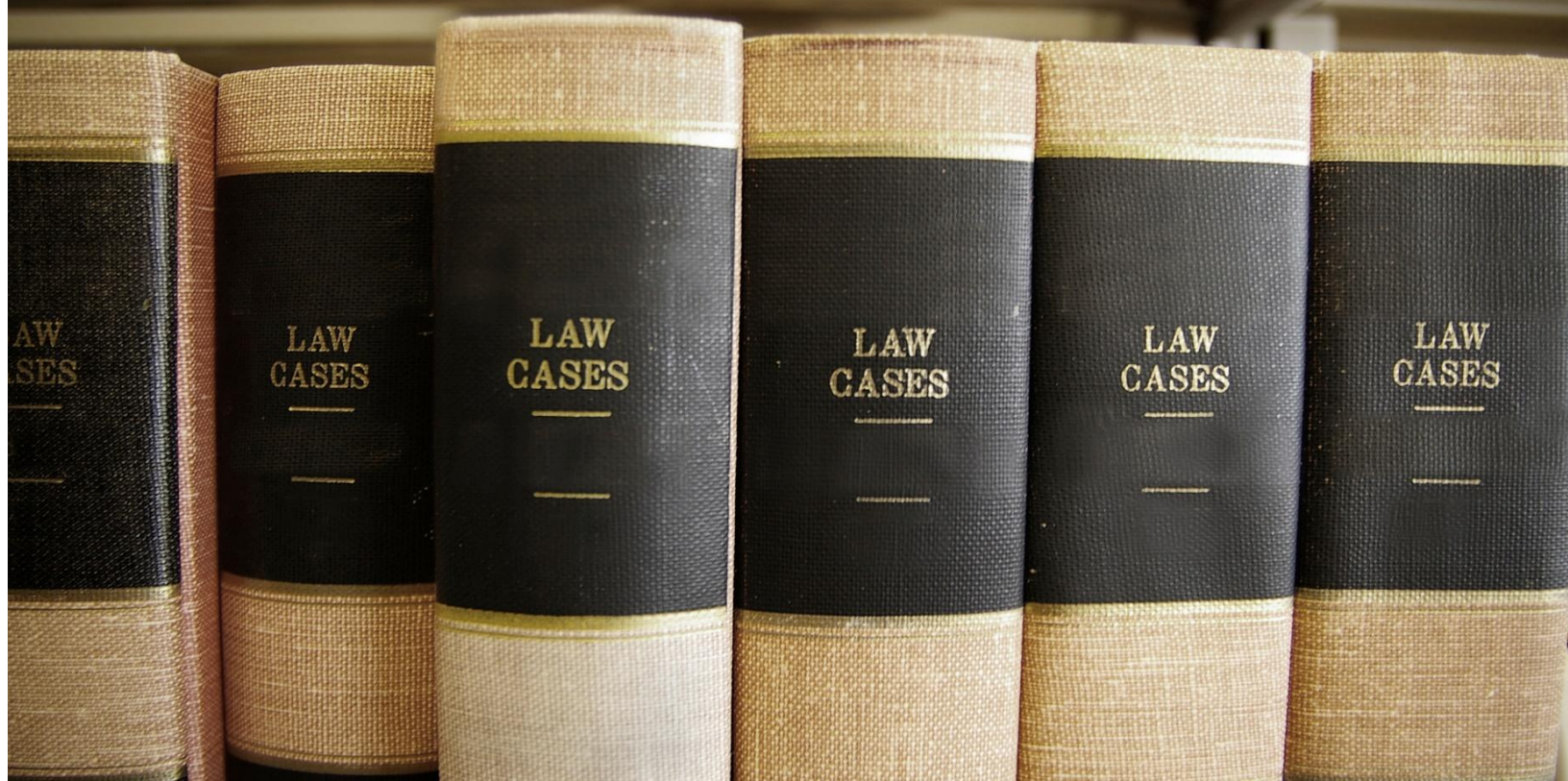
4. Customs regulations only increase costs for businesses.

5. Some of the regulations customs inspects during import and export clearance may benefit other ministries or agencies, or simply increase the burden on companies. Currently, companies must obtain and submit electrical product safety certifications, electromagnetic compatibility registration certificates, and chemical substance exemption certificates for each tablet PC or research sample they import. This increases costs for companies and increases the work hours of customs officers required to obtain these exemption certificates. This also delays customs clearance.

To ensure electrical safety and protect the public from electromagnetic waves, customs procedures for e-commerce items and general corporate sample items must be unified. On the one hand, over 100 million e-commerce items are being cleared without import requirements, while the verification procedures are strengthened only for urgent items needed for companies' research.

Customs should not be an agency that serves the interests of regulators. We must all actively seek ways to reduce corporate costs, and the government must also strive to find ways to help without financial intervention. If we fail to navigate this crisis, the Korean economy could face significant risks.

In conclusion, it's crucial to proactively identify diverse ideas that can reduce corporate costs and consistently propose them to the government and relevant organizations. Even small improvements, when combined, can create significant change, contributing to the strengthening of Korean corporate competitiveness and the stability of the national economy.



Analysis on Recent Customs Judicial Precedent

**Suwon District Court, October 12, 2023, Judgement 2021 Guhap 69289
[Revocation of Refusal Disposition to Correct Customs Duty, etc.] Whether
the unpaid PMI (Planning Marketing Invoice) amount arising from the
transaction of importing brand-name products is included in the taxable
price of the imported goods as part of the
actual transaction price of the brand-name
products in this case.**

[Facts]

A. Relationship between the parties and contents of the distribution agreement

The plaintiff obtained exclusive sales rights in Korea by entering into a distribution and supply contract, trademark use contract, and support service contract with E (brand management and distribution company), a special affiliate of the global group (C) that owns the C brand, in 2009. The plaintiff has since placed purchase orders and made payments to E, importing and selling the products of the brand at issue.



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E did not directly produce the products at issue, but entrusted the manufacturing to a third-country contract manufacturer, such as F in Bangladesh. When clearing import customs, the plaintiff separately added the trademark usage fee and design cost paid to E to the commercial invoice price of the contract manufacturer and reported it as the transaction price.

E issued a monthly billing statement (PMI: Planning Marketing Invoice) to the plaintiff separately from the commercial invoice of the contract manufacturer, and the PMI states 'PMI Unpaid Amount', which is the amount requested for payment from the plaintiff.

B. The Seoul Customs Director's Office's customs review and imposition of duties, etc. related to the import of brand-name products in this case.

The Seoul Customs Commissioner determined through the review that the plaintiff had reported only the production cost on the commercial invoice of the third-country consignment manufacturer as the price of the products at the time of customs clearance, but had also omitted the 'Remains to pay' (PMI unpaid balance) of the PMI (Planning Marketing Invoice) issued by E every month, which should have been included in the transaction price of the imported products. In light of the transaction structure, including the distribution and supply contracts, the actual seller of the products in this case is not a third-country consignment manufacturer, but E. Therefore, the transaction price is the amount of the production cost on the manufacturing invoice, the trademark and design costs, and the PMI unpaid amount, and is considered to correspond to the "price that the buyer must actually pay" (the "actual payment amount" in the notice) under Article 30, Paragraph 1 of the Customs Act.

Accordingly, the customs office corrected and notified the total amount of PMI unpaid taxes by adding it to the taxable price for each import declaration in proportion to the monthly import amount, and then reduced some of it ex officio.

[Issues]

Whether the PMI unpaid amount is part of the price of products that the plaintiff agreed to pay to E in connection with the import of the brand-name products in this case, and is included in the "price that the buyer must actually pay for products sold for export to Korea" as stipulated in the main text of Article 30, Paragraph 1 of the Customs Act.

[Decision Summary]

1. Parties to the import transaction of brand-name goods in this case

- ① Relationship/Contract: The plaintiff was established under the CSO system and signed a distribution/trademark use/support service contract with E in 2009, unified the counterparty for ordering and payment (manufacturer's invoice price, royalty, design fee) to E.
- ② Contractual ownership: E bears all ownership and risks prior to delivery, and E also has core authority over supply and settlement, including return approval, defect/PL responsibility, and issuance of purchase orders and monthly invoices.
- ③ Absence of direct transaction with manufacturer: plaintiff cannot import without going through E, and there was no direct performance of contract manufacturer selection, price negotiation, or payment, and all practical procedures were carried out with E.
- ④ Comprehensive judgment: Considering the contractual terms and the actual transaction flow, the entity that carried out this import transaction at its own expense and risk is E, so the actual/contractual seller is not the third-country contract manufacturer, but E.

2. Whether the unpaid PMI amount includes the transaction price of the brand-name products in this case.

- ① The nature of PMI based on the contract details and transaction history: The plaintiff claims that PMI is a business support expense unrelated to imported products. However, pursuant to the distribution and supply contract, the plaintiff issued monthly PMI (payment request form) based on the E transfer pricing policy, and the structure of the items (sales amount, discount rate, resale deduction, amount paid, and accounts payable) is in line with the products price settlement system. The plaintiff recorded the long-term PMI accrued amount as cost of goods sold (COGS) and also indicated it as inventory accounts payable on the foreign exchange report. The fact that it was transferred to sales management expenses after customs inspection was merely a change in form, making it difficult to view the PMI as a business support fee.

② Evaluation of APA Applications: APAs differ from customs valuations in their purpose, legal basis, and valuation criteria, and do not bind the customs value under the Customs Act. Even if the plaintiff changes the transaction type from distribution to business support and receives approval for the APA, it cannot be used as a prerequisite for determining the customs value unless a prior adjustment under §37 or §37-2 of the Customs Act has been applied for.

③ Evaluation of the Business Support Agreement (BSA): The plaintiff entered into a BSA with E around December 2015, while the corporate audit was in progress. E appears to have issued monthly invoices to the plaintiff for business support from around June 2016. The plaintiff particularly emphasizes that "E issued invoices for the above business support in June 2016 and July 2016, unlike the previous PMIs." However, it is difficult to see that the nature of the "PMI unpaid balance" changed solely based on the BSA concluded in December 2015 and the invoices issued for business support after June 2016. Fundamentally, the timing of the BSA and the issuance of the invoices for business support do not match, and there is a lack of monthly service details and supporting documentation. In reality, it appears to be the same payment mechanism as the existing PMI. The distribution agreement remains valid, and there is insufficient objective evidence to determine a separate service fee.

④ Valuation under the Customs Act regarding the calculation method of PMI unpaid amount, etc.: According to Article 30 of the Customs Act and the WTO Customs Valuation Agreement, the transaction price is "the total amount actually paid or payable" when sold for export to the importing country. In principle, post-operating profit adjustments do not change the taxable price unless there is a provisional price report, an application for advance adjustment, or a valid price adjustment agreement. PMI is not subject to a provisional price or a valid price adjustment agreement. Furthermore, if the PMI unpaid amount is excluded as payment for services or services, the price of imported goods is mostly composed only of the contract manufacturer's production fee, trademark and design support costs, and freight, and it is difficult to view it as an arm's length transaction price because E's general profit and ordinary expenses are not reflected, which creates a contradiction that requires the use of alternative methods (§31-§35).

Therefore, the entire PMI unpaid amount is included in the taxable price.

[Significance of the decision]

This ruling reaffirms that the transaction price calculation during customs clearance must fully include the "amount actually paid or payable." If an amount similar to the PMI unpaid balance, which is settled monthly under a distribution/supply contract is the balance of the product price, it would be difficult to exclude it

from the taxable price under the pretext of business support/service fees.

To prove that the service costs paid to the exporter are excluded from the customs value of the imported goods, objective evidence, such as service performance details, calculation basis, and consistent accounting, is required. If objective evidence is lacking, customs may add the relevant costs to the customs value or, in the case of a related party, apply an alternative valuation method, citing reasons such as the influence of the special relationship on the price.

In relation to import transactions, the nature of the amount paid must be accurately confirmed to appropriately calculate the taxable price. In cases where post-profit adjustments, etc. affect the taxable price, changes in the taxable price must be prepared for through provisional price reporting systems, etc.



HS case solved by logic

Interpretation Method of the Purposes Listed in the Tariff Schedule through the Case of Product Classification for Fan(TaxTribunal 2024-Gwan 0089)

Overview

According to the tariff schedule, fans for table, floor, wall, window, ceiling, and roof (limited to those with electric motors with an output of 125 watts or less) are classified under 8414.51-9000. Fans not specifically designated for the above purposes are classified under 8414.59-9000, which is specifically designated for other fans. While the basic tariff rate remains the same at 8%, under the Korea-China FTA, 8414.51-9000 is 0%, while 8414.59-9000 is 8%. Therefore, companies subject to the Korea-China FTA need to pay attention to the HS code when importing fans. Based on the recent decision by the Tax Tribunal, we would like to provide guidance on the fan product classification standards.



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2. Disposal Summary

From May 11, 2020 to July 13, 2022, the claimant corporation imported Folding Fans (hereinafter referred to as "Item ① at Issue") and Ceiling Fans (hereinafter referred to as "Item ② at Issue" and together with Item ① at Issue, referred to as "Items at Issue") from A in China in 21 cases including Import Declaration No. OOM. The claimant corporation deemed the Items at Issue as table and ceiling fans and declared them as Item heading 8414.51-9000 (Korea-China FTA Agreement Tariff Rate 0%), and the Disposition Authority accepted this.

On April 7, 2022, the Disposal Agency notified the claimant corporation that the items at issue correspond to "Other Fans" under HSK heading No. 8414.59-9000 (basic tariff rate of 8%, hereinafter referred to as "heading No. 8414.59") and instructed the claimant corporation to correct and amend the report. Accordingly, the claimant corporation corrected the report to heading No. 8414.59 and filed and paid the amended customs duties, etc.

The claimant corporation applied to the Director of the Customs Valuation and Classification Bureau for a preliminary review and re-review of the product classification for the items at issue, and the Director of the Customs Valuation and Classification Bureau responded and re-replied to the claimant corporation with the product numbers of the items at issue as heading No. 8414.59 (hereinafter referred to as the "preliminary response to the issue").

3. Claim of the claimant

(1) The purpose of the item at issue is for table and ceiling use.

The term in subheading 8414.51 is 'fans for table, floor, wall, window, ceiling or roof (with electric motors having an output not exceeding 125 W)'. The term 'for' in this subheading refers to the place where it is used, and articles designed and manufactured for use primarily in such places should be classified in heading 8414.51.

Item ① at issue has a folding fan blade that supports the fan blades on a circular pedestal, and a synthetic resin wall-mounting hook is attached to the back of the pedestal. It can be used as a table fan by placing it on the floor, or, it can also be used as a wall fan by using the hook if necessary.

Item ② at issue has a mounting hole on the back of the main body so that it

can be hung from the ceiling, but there is no protective net. Its intended use is to be hung from the ceiling for ventilation in bathrooms or other narrow spaces.

If the use of the item at issue is further expanded, it can be used by hanging it on a tent or tree, but this expansion of use is only an arbitrary addition to the place of use of the item at issue, and there is no change to its unique structure (design and manufacturing) suitable for a table or ceiling fan.

As mentioned above, classifying the item at issue as heading No. 8414.59 by excluding them from No. 8414.51 on the grounds that they can be used in places other than the specified places violates General Rule No. 6 on the Interpretation of HS, and the disputed disposition made on this basis violates the principle of tax law.

(2) The opinion of the disposal agency that the uses of the items at issue are diverse is wrong.

The Disposal Agency believes that the item at issue was designed and manufactured to be used in a variety of ways, both indoors and outdoors, and that the claimant's website advertises that it can be used universally by combining it with camping tents, strollers, etc., and therefore the item at issue should be classified as heading No. 8414.59 as a "fan of other things."

However, although hooks or movable mounting holes have the advantage of being able to change the location of use more conveniently than fixed ones, it cannot be said to have general usability just because it can be moved and used. The item ① at issue weighs about 500g to 610g, making it unsuitable for carrying around and using like a portable fan. And the mobility is possible due to the characteristics of the product itself, such as its compactness, folding function, built-in battery, and remote control, and is not caused by attaching a hook or mounting hole, and the attachment of a hook or mounting hole merely adds wall-mounting and storage functions to the existing functions.

4. Opinion of the disposal agency

The item at issue is a fan that can be used indoors and outdoors, such as not only for a table use but also a hanger-type circulator for a ceiling or outdoor tent, a tent tarp fan, or a heater heat circulation fan, as it is wireless and easy to move and utilizes a handle, ring, or mounting hole attached to the item at issue. Therefore, it should be classified under heading No. 8414.59.

The claimant corporation claims that the item at issue was manufactured primarily for use on tables and ceilings, and that its portability was an arbitrarily added feature, and therefore is a table and ceiling fan. However, the item at issue, unlike typical table and ceiling fans, is manufactured to be lightweight for portability, has a usage time of 4 to 8 hours, and thus is not sustainable enough to be considered a fixed purpose for blowing air, and its primary use cannot be specified as a table use, etc., and is a fan designed

and manufactured with a hook or mounting hole so that it can be used in various indoor and outdoor situations, especially on various objects and in various locations during camping or outdoor activities. Therefore, the unique characteristics of the item at issue are that it is a portable small electric fan.

In particular, the unique feature is that it can be conveniently used anywhere, indoors or outdoors, by utilizing the lower ring or upper mounting hole that is attached only to the item at issue. For this, the item at issue is designed to be folded to emphasize mobility and versatility, and a camping biner is included in the sale as an accessory related to the item at issue. The website informs that the item at issue can be used in a wider variety of ways.

The claimant claims that the disposition at issue violates General Rule No. 6, but the product classification must follow General Rule No. 1, which is the overriding principle, and General Rule No. 6 is a supplementary provision that determines the classification based on the term of the relevant subheading and the notes of the related subheading.

Whether the item at issue is classified under subheading 8414.51 under Rules 1 and 6 shall be determined based on the primary use of the item at issue, and such primary use shall be objectively judged based on the design and manufacturing intent of the product, etc.

Following the terminology of the subheading, subheading 8414.51 should be interpreted as a special heading for fans for indoor use, and only products for the uses (locations) listed should be classified in this heading. Therefore, products other than those listed in the terminology of the subheading cannot be classified in this heading (the principle of enumeration), and other products should be regarded as 'other fans' and classified in the remaining heading 8414.59.

5. Judgment

According to the promotional materials for the items at issue submitted by the disposal agency, regarding the item ① at issue, it is easy to carry or move by folding it and putting it in a pouch, and it can be used in various places such as dining tables, bedrooms, vanity, golf courses, campsites, and strollers. Regarding the item ② at issue, it is an ultra-lightweight 280g optimized for outdoor activities, a tarp fan of a size suitable for outdoor activities such as camping, fishing, and car camping, and it can also be used as a ceiling fan or wall-mounted fan through the three mounting holes on the main body.

In light of the lack of objective and specific data to support the view that the item at issue is primarily used for table or ceiling use or that it was designed and manufactured for such purposes, the disposal agency is deemed not to have erred in rejecting the request for correction by deeming the item at issue not to be a table or ceiling fan under heading No. 8414.51.

6. Summary of Decision and Order

[Decision Summary]

Considering the method of use of the item at issue and the importer's explanation, etc., there appears to be a lack of objective and specific data to suggest that the item at issue is primarily used for tables or ceilings, or that it was designed and manufactured for such purposes. Therefore, it is not considered a table or ceiling fan under heading No. 8414.51, and there is no error in rejecting the request for correction.

[Order]

The request for judgment is dismissed.

7. Implications

As with the item at issue, the product classification may vary depending on their intended use. This is especially important because applicable tariff rates may also vary, making it crucial to determine whether an item is intended for that purpose. Even if an item can be used as a table, floor, wall, window, ceiling, or roof, it must be determined whether it is intended for that specific use. HS codes that list intended uses should be interpreted as limiting the classification to products intended for the specific use (location) listed in the subheading, following the terminology of the subheading.



Global Customs Insight

AI and Customs Clearance Practices

1. Overview

Today's global trade environment is rapidly changing, driven by digital transformation and rapid advancements in automation technology. In particular, customs clearance, long dominated by manual labor, has seen the introduction of AI (artificial intelligence) technology in recent years usher in a new paradigm of efficiency and accuracy.

AI is rapidly being applied across various customs clearance practices, such as automating product classification and document creation, to assist expert judgment or automate repetitive tasks. Stakeholders, including the Korea Customs Service, customs brokers, import/export companies, and e-commerce platforms, are incorporating AI into their practices. This is moving beyond simple technological application and becoming a core element of customs clearance policy and trade strategy.

We will examine how AI is currently being utilized in customs clearance practices, its use cases, and future prospects.



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2. Current Status of AI Utilization in Customs Clearance

AI is being gradually introduced across customs clearance practices, particularly is rapidly spreading in the following specific fields:

(1) Automation of product classification (HS CODE)

One of the most active areas of AI use is the technology that **automatically recommends the appropriate HS code (Product Classification Code) when the product description is entered** utilizing large language models (LLMs) such as GPT.

(2) Automatic document review and translation

AI automatically reviews the contents of commercial invoices, packing lists, export declarations, etc. and checks to see **whether there are any errors in the description or missing required information.**

3. Current Status of AI Customs Clearance Practices in Major Countries

(1) China

Chinese Customs is introducing various AI/ML models. A total of **62 smart models** are in the introduction stage and two of them are fully being operated. Prime examples are the intelligent control model (TianXuan) and **Smart Image Analysis Model.**

(2) United States

U.S. Customs and Border Protection (CBP) is leveraging AI to operate port cargo screening, anomaly detection, and real-time alert systems. AI automatically detects drugs and unauthorized items through video and image analysis. In partnership with an AI company called Altana, they have successfully tracked and detained fentanyl precursors by identifying and mapping risky transactions linked to the supply chain.

(3) European Union (EU)

The EU is expanding its electronic customs clearance system through the Union Customs Code (UCC) from 2020. All paper-based procedures are being digitalized and an electronic **customs clearance system based on a single window is being built.**

Tools like eClear's CustomsAI are gaining traction as solutions that automate businesses' HS code classification tasks using AI technology.

4. Future Outlook

The application of AI in customs clearance practices is expected to bring significant changes to the entire customs clearance industry in the future.

In particular, with the direct integration of the Korea Customs Service's electronic customs clearance system (API) with the GPT-based AI tool, AI-recommended HS codes and product information will be automatically reflected in declaration forms, enabling proactive detection of errors and omissions. This will significantly improve customs clearance accuracy and processing speed, while also serving as a crucial step in bridging the information gap between companies and customs.

Furthermore, demand for customized AI solutions that reflect unique regulations, such as country-specific laws, customs regulations, and FTA agreements, is rapidly increasing. Major countries such as Korea, Japan, and the EU are actively developing models tailored to their respective customs regulations. With these technologies now available as cloud-based SaaS, even small and medium-sized enterprises (SMEs) and startups with limited trade experience will be able to easily and affordably adopt AI tools to manage customs risks.

5. Perception of AI as a Work Tool in the Context of AI Development - AI as an Assistant in Customs Clearance Practices

Rather than replacing customs clearance with AI, AI should be viewed as an "assistant tool" that supports expert judgment and reduces repetitive tasks. While AI can assist with many tasks, the final decision-making and legal responsibility for customs clearance still rests with humans. **AI should be recognized as a tool for efficient and accurate decision-making.**

To maximize the success of AI adoption, it is necessary to go beyond simple technology adoption. **Training to improve practitioners' customs knowledge and product understanding** must be done in parallel. Above all, **reliable expert assistance optimized for country-specific regulations and rules** is essential. Also, about the results presented by AI, equipping **a data history management system that can be recorded and reviewed** will also be an important strategy for future repeated use and error response. Currently, AI is in its early stages of being integrated into customs clearance operations. Each company must establish an AI adoption strategy tailored to its specific work environment and gradually pursue operational innovation.



FTA and import/export practical business guide

Implementation of a System for Submitting Taxable Price Data in a Batch

1. Overview

- ① Tax information submission is exempted for sincere taxpayers and small-scale import taxpayers.
- ② When transacting with the same seller under the same conditions, submit tax information only once a year.
- ③ Classify taxable data by sector, and specify the taxable data to be submitted.

2. Implementation

The "Notice on Customs Valuation Operation" that stipulates the relevant system has been in effect since July 1, 2025.

After the two-month grace period, tax information must be submitted for goods imported after September 1, 2025.



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3. Purpose

- ① Establishment of procedures for reform such as batch submission of the taxable price reporting system
- ② Revision of the price report form
- ③ Clarification of provisional price reporting regulations
- ④ Expansion of working-level meetings on the preliminary examination of methods for determining the taxable price of imported goods between special related parties (hereinafter referred to as "special related party preliminary examination")

4. Target

All import companies except for compliant companies (AEOs, ACVAs) and import companies with tax payments of less than KRW 500 million in the previous year

5. Content

- ① In case of repeated imports under the same conditions, only the first import declaration must be submitted with taxable price determination data, and subsequent import declarations can be omitted (comprehensive declaration within 1 year).
- ② Specific regulations on the list of materials required to confirm price accuracy by type of import transaction for submission of taxable price determination data (*8 fields)
- ③ Allowing post-submission in consideration of concerns about delays in customs clearance due to the company's preparation of taxable price determination data and the review of taxable price determination data by reporting agents.
- ④ In cases where the taxable price determination data is not subject to submission (*8 fields), a statement of reasons for non-submission may be submitted along with the price report.

⑤ In case of delay in securing taxation data, 'Reason for Delayed Submission of Taxation Price Determination Data' is required when filing an import declaration.

Prepare and submit a 'Reason Statement' (Appendix 38 of the 'Notice on Customs Valuation Operation') and submit the import declaration.

Tax information can be submitted within 30 days after acceptance.

* The eight fields that require review by the customs director regarding taxable prices are:

i) royalties, ii) production support, iii) Commissions and brokerage fees, iv) Freight, insurance, and other transportation-related costs, v) Container and packaging costs, vi) Post importation proceeds, vii) Indirect payment amount, viii) Special related party transaction

6. Sanctions for non-submission

- ① Cancellation of approval for monthly payment company
- ② Stop the omission of collateral provision
- ③ Customs investigation or tax audit
- ④ Other measures in accordance with the provisions of the Customs Act



Contents and Opinion of Customs Trade Amendment **Partial Revision of the "Notice on Taxpayer Protection of the Korea Customs Service"**

1. Overview

Pursuant to Articles 118-2 through 118-5 of the Customs Act, the Commissioner of the Korea Customs Service establishes the Taxpayer Protection Committee to protect taxpayer rights. The "Notice on Taxpayer Protection by the Korea Customs Service" further stipulates this. Accordingly, we will provide an overview of the key revisions to this notice.

2. Reason for revision

Strengthening taxpayer rights and interests protection and enhancing procedural transparency of the taxpayer protection advocate system.



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3. Major revisions

- Article 72 (Request for temporary suspension of customs investigation)
- (1) Expanding the scope from the existing officials in charge of taxpayer advocate service to the officials for taxpayer advocate service.
- Only the officials in charge of taxpayer advocate service could request a suspension of customs investigations, but the scope has been expanded to include officials of taxpayer advocate service.

Before revision	Article 72 (Request for temporary suspension of customs investigation) ① If it is deemed necessary for the operation of the Taxpayer Protection Committee, or, if the Taxpayer Protection Committee decides to temporarily suspend customs investigation pursuant to Article 118-5, Paragraph 6 of the Act, Form No. 42 of the attached document, the official in charge of Taxpayer Advocate service must request for temporary suspension of a customs investigation to the head of the relevant department in accordance with the request for temporary suspension of a customs investigation. However, in cases where the taxpayer does not wish for a temporary suspension or the content of the request for review of rights protection clearly indicates an attempt to avoid the customs investigation, etc., as per Article 144-5, Paragraph 3 of the Act, a temporary suspension request may not be made.
After revision	Article 72 (Request for temporary suspension of customs investigation) ① If it is deemed necessary for the operation of the Taxpayer Protection Committee, official for taxpayer Advocate service and the officials in charge If it is deemed necessary for the operation of the Taxpayer Protection Committee. A request for temporary suspension of customs investigation must be made to the head of the relevant department in accordance with the request for temporary suspension of customs investigation of Appendix 42. – Omitted –

- (2) Limited to cases where a request for review by the Taxpayer Protection Committee is made through the official in charge of taxpayer advocate service.
- Preventing the abuse of excessive investigation suspensions under the pretext of protecting rights, and ensuring reliability and fairness through committee deliberation.

Before revision	② According to Article 1, the suspension period of customs investigation is from the time the person requesting protection of rights receives a notice of decision pursuant to Article 118-5, Paragraph 2 from the head of the competent customs office to the date of requesting the cancellation or change of the decision of the head of the competent customs office to the Commissioner of the Korea Customs Service.
After revision	② In case of requesting the Taxpayer Protection Committee to review the rights protection to the official in charge of Taxpayer Advocate service, the suspension period of customs investigation according to Paragraph 1 is from the time the person requesting protection of rights receives a notice of results according to Article 118-5, Paragraph 2 from the head of the competent customs office to the date of requesting the cancellation or change of the decision of the head of the competent customs office to the Commissioner of the Korea Customs Service.

(3) Clarification of the suspension period for customs investigations

- Maintaining procedural balance by preventing abuse and delay of investigation suspension while enhancing the effectiveness of taxpayer rights protection.

Before revision	③ The head of the relevant department who receives a request for temporary suspension of a customs investigation pursuant to Paragraphs 1 and 2 shall temporarily suspend the customs investigation. In this case, the investigation period shall be automatically extended by the period of suspension. ④ <New> ⑤ <New>
After revision	③ In case the review from Taxpayer Protection Committee is requested to the Commissioner of the Korea Customs Service, the period of temporary suspension of customs investigation pursuant to Paragraph 1 may be extended until the notification of results is made pursuant to Paragraph 4 of Article 118-5 of the Act. ④ The head of the relevant department who receives a request for temporary suspension of a customs investigation pursuant to Paragraphs 2 and 3 shall temporarily suspend the customs investigation. In this case, the investigation period shall be automatically extended by the duration of the suspension. ⑤ During the temporary suspension period of customs investigations pursuant to Paragraphs 2 and 3., if any of the following applies, the official of Taxpayer Advocate service and the official in charge of Taxpayer Advocate service must notify the head of the relevant department that the reason for temporary suspension of customs investigation has been eliminated. 1. If the person requesting protection of rights withdraws the entire request for protection of rights pursuant to Article 70. 2. In case the official in charge of taxpayer advocate service handles the case in accordance with Article 74, Paragraph 6. 3. In case there are other reasons similar to those in Nos. 1 through 2.

4. Revision opinion

This revision aims to make the operation of the customs investigation suspension system more rational and transparent. It broadens the scope of rights protection by extending the authority previously limited to the official in charge of Taxpayer Advocate service to include Taxpayer Advocates. Furthermore, by ensuring that investigation suspensions are not solely based on a request for rights protection, and instead require deliberation by the Taxpayer Protection Committee, it prevents abuse and enhances fairness. Furthermore, by clarifying the investigation suspension period and requiring immediate notification when the grounds for suspension have ceased to exist, it prevents unnecessary delays and achieves a balance between taxpayer rights protection and administrative efficiency. For businesses, this is expected to have positive effects: expanded opportunities for legitimate rights protection, while also reducing uncertainty and the burden of investigation delays through transparent and predictable investigation procedures.

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